

REPLY NOTICE & COUNTER-CLAIM BY RESPONDENT

Data-breach, downtime SLA breach and misappropriation of IP

RESPONDENT (PARTY B)	M/s Vector Systems Ltd., Tower B, Cyberpark, Chennai
CLAIMANT (PARTY A)	M/s Orion Analytics Pvt. Ltd., Bengaluru
COUNTER-CLAIM	■1,02,00,000 (SLA breach, breach notification costs, IP misuse)
POSITION	Respondent denies outstanding dues; claims set-off and net recovery

1. PRELIMINARY OBJECTIONS

The respondent denies liability for the claimed sums and asserts that payment was lawfully withheld. Its objections are: (i) the analytics platform repeatedly breached the agreed 99.5% uptime SLA, with 11 notified outages between Aug-2025 and Feb-2026; (ii) on 12-Jan-2026 a data breach occurred in the claimant's API layer exposing customer records, forcing the respondent to notify 40,000 data subjects and pay regulatory penalties; and (iii) the claimant used respondent's proprietary datasets to build models for a competing client, in breach of Clause 9 (IP & confidentiality).

2. SLA BREACHES & OUTAGES

The respondent maintains a centralised uptime log. In the 7-month period Aug-2025 to Feb-2026, cumulative downtime was 48 hours against the 26 hours permitted by the 99.5% SLA, i.e. an excess of 22 hours. Under Schedule B of the Agreement, each hour of excess downtime entitles the respondent to service credits of ■1,50,000. The SLA credits claimed aggregate ■33,00,000.

3. DATA BREACH & CONSEQUENTIAL COSTS

The breach incident of 12-Jan-2026 was traced by an independent forensic audit (M/s Securitas) to insecure API authentication maintained by the claimant. The respondent incurred: (i) forensic audit fees ■8,50,000; (ii) data-subject notification and call-centre costs ■9,00,000; (iii) regulatory penalties and legal costs ■16,00,000; and (iv) estimated business loss ■35,50,000 — totalling ■69,00,000.

4. COUNTER-CLAIMS RAISED (PARTY B)

Sr.	Head of Counter-Claim	Amount (■)
1	SLA service credits (22 excess hours)	33,00,000
2	Data-breach consequential costs	69,00,000
3	Total counter-claim	1,02,00,000
4	Less: disputed fees of claimant (without prejudice)	(58,60,000)
5	Net counter-claim of respondent	43,40,000

5. SETTLEMENT OUTLOOK

The respondent is willing to mediate and to settle on terms that (i) resolve the IP dispute by a definitive licence carve-out, (ii) set off the SLA credits and breach costs against the claimant's fees, and (iii) provide for a monitored

90-day handover. The respondent proposes a neutral technical audit of uptime and breach causation before any net payment is fixed.

For M/s Vector Systems Ltd.

S. Raman, COO

Through: Adv. Karthik Menon

Issued at: Chennai

Dated: 02-Apr-2026

Registered post / e-mail